

The Expert's Hypothesis

The so-called *expert's hypothesis*, which asserts that experts can outperform models, is intuitive and tells a deceptively compelling story. For example, to most, it seems like common sense that a hedge fund manager with a Harvard MBA and 20 years of work experience at Goldman Sachs can beat a simple model that buys a basket of low P/E stocks. The logic behind this presumption is persuasive, as the expert would seem to possess a number of advantages over the model. The expert can arguably outperform the simple model for the following reasons:

- Experts have access to qualitative information.
- Experts have more data.
- Experts have intuition and experience.

Of course, there are other ways to support the argument that a human expert will beat a simple model, but most of these stories revolve around the same key points already outlined.

The following three arguments, however, underlie the expert's hypothesis, and while they are plausible, they are wrong:

1. Qualitative information increases forecast accuracy.
2. More information increases forecast accuracy.
3. Experience and intuition enhance forecast accuracy.

Remarkably, the evidence we will present illustrates that qualitative information, more information, and experience/intuition do not lead to more accurate or reliable forecasts, but instead lead to poorer decision-making. And because this result is so counterintuitive, it makes it that much more important to understand.

Among the hundreds of cases of expert forecasts gone awry, one high-profile example is Meredith Whitney.⁸ Ms. Whitney is famous for her prescient forecast of the banking crisis that reared its ugly head in late 2008. Public accounts of Ms. Whitney's predictions which were widely observed